

If you are planning for 4 lots, a more reliable approach is to split one lot of calls and put options across all the 4-time frames each. For example, 1 at 9:16 a.m., 1 at 10:16 a.m., another at 11:16 a.m. and the last one at 12:16 p.m. You will be shocked to know that this multi time strategy provides with the best Calmar ratio. The Calmar ratio of this strategy comes at 8.2, almost double of the best individual time frame. Look at the image below.

A	B	C	D	E	F	G	H	I	J	K	L	M
Index	Entry-Date	Entry-Week	Entry-Time	Entry-Price	Instrument	StrikePrice	Position	ExitTime	ExitPrice	P/L	DD	
1071.2	16/06/23	Friday	10:16:00	36.25	CE	18900	Sell	14:47:00	72.5	-36.25	-89.15	
1071.1	16/06/23	Friday	11:16:00	43.15	PE	18700	Sell	15:15:00	29.8	13.35	-75.8	
1071.2	16/06/23	Friday	11:16:00	36.15	CE	18900	Sell	14:47:00	72.3	-36.15	-111.95	
1071.1	16/06/23	Friday	12:16:00	41.3	PE	18700	Sell	15:15:00	29.8	11.5	-100.45	
1071.2	16/06/23	Friday	12:16:00	36.75	CE	18900	Sell	14:47:00	73.5	-36.75	-137.2	
1072.1	19/06/23	Monday	9:16:00	43.75	PE	18800	Sell	13:21:00	87.5	-43.75	-180.95	
1072.2	19/06/23	Monday	9:16:00	40.8	CE	18950	Sell	15:15:00	16.9	23.9	-157.05	
1072.1	19/06/23	Monday	10:16:00	36.75	PE	18750	Sell	15:15:00	42.9	-6.15	-163.2	
1072.2	19/06/23	Monday	10:16:00	47.5	CE	18900	Sell	15:15:00	28.25	19.25	-143.95	
1072.1	19/06/23	Monday	11:16:00	46.85	PE	18750	Sell	15:15:00	42.9	3.95	-140	
1072.2	19/06/23	Monday	11:16:00	34.15	CE	18900	Sell	15:15:00	28.25	5.9	-134.1	
1072.1	19/06/23	Monday	12:16:00	45	PE	18750	Sell	15:15:00	42.9	2.1	-132	
1072.2	19/06/23	Monday	12:16:00	36.2	CE	18900	Sell	15:15:00	28.25	7.95	-124.05	
1073.1	20/06/23	Tuesday	9:16:00	39.4	PE	18700	Sell	15:15:00	15.2	24.2	-99.85	
1073.2	20/06/23	Tuesday	9:16:00	45.3	CE	18800	Sell	15:12:00	67.95	-22.65	-122.5	
1073.1	20/06/23	Tuesday	10:16:00	37.7	PE	18650	Sell	15:15:00	9.65	28.05	-94.45	
1073.2	20/06/23	Tuesday	10:16:00	42.95	CE	18750	Sell	15:04:00	85.9	-42.95	-137.4	
1073.1	20/06/23	Tuesday	11:16:00	32.45	PE	18650	Sell	15:15:00	9.65	22.8	-114.6	
1073.2	20/06/23	Tuesday	11:16:00	44.3	CE	18750	Sell	15:05:00	88.6	-44.3	-158.9	
1073.1	20/06/23	Tuesday	12:16:00	44.05	PE	18700	Sell	15:15:00	15.2	28.85	-130.05	
1073.2	20/06/23	Tuesday	12:16:00	31.65	CE	18800	Sell	15:09:00	63.3	-31.65	-161.7	
1074.1	21/06/23	Wednesday	9:16:00	39.85	PE	18800	Sell	15:15:00	17.3	22.55	-139.15	
1074.2	21/06/23	Wednesday	9:16:00	42.35	CE	18850	Sell	15:15:00	48.25	-5.9	-145.05	
1074.1	21/06/23	Wednesday	10:16:00	43.2	PE	18850	Sell	15:15:00	33.2	10	-135.05	
1074.2	21/06/23	Wednesday	10:16:00	34.1	CE	18900	Sell	15:15:00	24.9	9.2	-125.85	
1074.1	21/06/23	Wednesday	11:16:00	49.1	PE	18800	Sell	15:15:00	17.3	31.8	-94.05	
1074.2	21/06/23	Wednesday	11:16:00	50	CE	18800	Sell	15:15:00	82.45	-32.45	-126.5	
1074.1	21/06/23	Wednesday	12:16:00	35.8	PE	18800	Sell	15:15:00	17.3	18.5	-108	
1074.2	21/06/23	Wednesday	12:16:00	37.6	CE	18850	Sell	15:15:00	48.25	-10.65	-118.65	
Total										16137.8		
DD										603.8		
Years										3.25		
Yearly points										4965.477		
Calmar										8.223711		

Though the overall profits got lowered compared to 11:16 a.m., the drawdown was significantly reduced by spreading each lot across all time frames.

CONCLUSION

Timing the market is impossible even with rigorous backtesting. This is why a much more reliable way to trade is to spread your entries across different time periods. This multi time option trading approach capitalizes on various opportunities throughout the day.

Splitting your trades across different time periods also minimizes drawdown which leads to enhanced Calmar ratio compared to trading at a single time frame. This way, traders can reduce volatility and optimize risk-adjusted returns.



Backtested results